

200 million by FY29 and steadily compound AUM at 25-26% while maintaining healthy return ratios.

Bajaj Finance Limited, or BFL, was an early adopter of cloud and data analytics. It now aims to become a FINAI (Finance + AI) company, leveraging AI-driven technology to optimise its processes, boost revenue, and reduce costs.

By FY29, under its BFL 3.0 vision, the company is targeting a credit market share of 3.2-3.5% overall and 3.8-4.2% in retail, expansion to 5,200-5,500 locations, 150-170 million Bajaj Finserv app downloads, and 3.5-4.5 billion website visits.

Its AI-enabled technology architecture will integrate AI across all its processes to deliver significant operating leverage.

According to a report by financial services company Motilal Oswal, Bajaj Finance Limited is implementing 29 GenAI use cases across 25 work streams, which will deliver annual cost savings of ₹150 crore in FY26 alone.

"In the medium term, we estimate employee headcount to grow at a slower pace compared to business growth. We also fore-

cast operating efficiencies from better utilisation of our branches, digital properties, and overhead costs. We are looking to improve Opex (operational expenses) to NIM from 34% in FY24 to about 33.2% for FY25," Jain tells *Business Today*.

DIVERSIFIED MIX

In the first seven years since inception, Bajaj Finance used to primarily borrow wholesale and lend retail. Since 2014, the company has also started borrowing retail and lending wholesale. The diversified liability profile has given it an edge over peers.

For instance, as of September 30, 2024, or the end of Q2FY25, money markets accounted for 47% of the company's borrowings, bank borrowings stood at 29%, deposits at 20%, and External Commercial Borrowings (ECBs) at 4%. The deposits franchise grew 21% year-on-year (YoY) to ₹66,131 crore, despite the significant price war.

"Given significant improvement in foreign currency borrowing rates on a fully hedged basis, we used the opportunity to deepen the diversification of our liabilities profile. Bajaj Finance raised ECB loans of \$1.5 billion (₹12,600

crore) as part of its liability diversification over the last three quarters. Our fully hedged borrowing costs of ECB loans availed in Q2 were sub-8%," adds Jain.

On the product front, the company is also well-diversified, with growth gaining momentum from newly-launched businesses in FY24, such as loan against property (LAP), gold loans, new car financing, microfinance, tractor finance, and commercial vehicle finance. These new lines have started contributing 2-3% of the company's AUM growth. Currently, mortgages account for 31% of its consolidated AUM, while SME and commercial lending represent 14% and 13%, respectively.

Moreover, Bajaj Finance has made significant investments in its omnipresence strategy over the last three years across its app, web, technology, geography, and people.

STRONG MOMENTUM

Bajaj Finance ended FY24 with a 34% growth in AUM at ₹3,30,615 crore. New loans booked went up 22% YoY to 36.20 million, and it saw the highest-ever customer franchise addition of 14.5 million.

"We have made a good start to FY25 and aim to stay at the upper end of our assessment of 26-28% AUM growth for the year. Consolidated AUM growth for Q2FY25 was 29%," says Jain.

Have the K-shaped economic recovery and the Reserve Bank of India's higher capital requirements for unsecured loans affected the demand for Bajaj Finance's unsecured loan book? Jain says the increase in risk weight on unsecured lending in Q3FY24 has led to stabilisation in monthly personal loan disbursement of the industry. "If you look at the bureau data in the first half, the personal

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TOP 5 LARGE NBFCs

► Bajaj Finance is the largest player among NBFCs in terms of total assets and has the highest NIM at 11.54%

BANK	BALANCE SHEET SIZE (₹ crore)	COST/INCOME RATIO	ROCE	NIM	CAR	DEBT-EQUITY RATIO
Bajaj Finance	2,96,614	0.33	12.93%	11.54%	22.52%	2.23
Muthoot Finance	85,028	0.29	17.86%	11.00%	30.37%	2.42
LIC Housing Finance	2,91,205	0.12	16.29%	2.42%	20.78%	7.73
Bajaj Housing Finance	81,827	0.23	15.23%	3.47%	21.28%	5.64
Aditya Birla Finance	1,11,212	0.29	16.65%	5.81%	16.24%	6.05

Data for FY24 **Source** BT-KPMG Survey of India's Best Banks and NBFCs 2023-24